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The limited toolkit of intervention

The word ‘policy’ is often used loosely in India. The Indian government landscape is littered with documents such as a ‘National Map Policy’. These documents are written by officials in the executive branch. They lack legislative backing. In a constitutional democracy, only the legislature can authorize the coercion of private persons, through laws. What can government do? There is a limited menu of interventions which can be utilized in order to address a market failure.

Coercion that modifies behaviour

The state has the monopoly over violence in society. This can be utilized to enact a rule that bans a certain behaviour, backed with the threat of penalties for non-compliance. For example, a law approved by the legislature can define a speed limit for cars, and a punishment that will be meted out to wrongdoers, by persons in the executive branch.

When civil servants give oral threats to private persons, or informally tell private people the behaviour that is required of them, this is a violation of the rule of law.